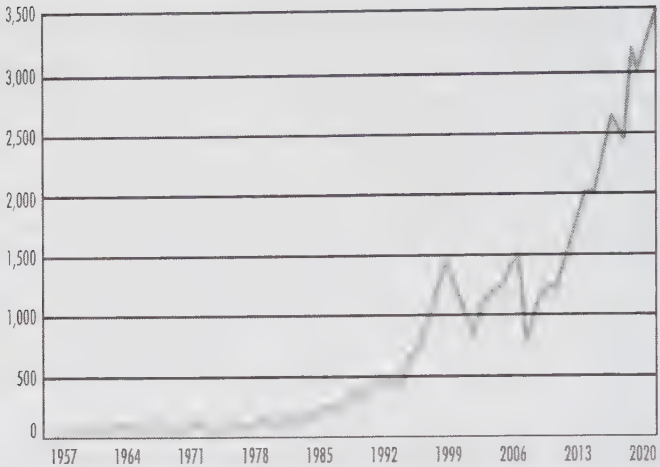

Figure 8.3. Returns of the S&P 500, 1957–2020

The numbers on the vertical axis, called points, are a simplified representation of how much money all the companies within the index are worth. It is easier to say "the S&P gained X number of points today" than "the S&P gained $5,675,431,234,732 today."

Source: "S&P 500 Index: 90 Year Historical Chart," Macrotrends.net, accessed August 19, 2020, https://macrotrends.net/2324/sp-500-historical-chart-data.

The most important thing to note is that the graph is trending upward, meaning the stock market is gaining value. There have been plenty of years since 1957 when the line has gone down, like the dot-com crash of the early 2000s or the financial crisis of 2008. But if you stayed in the market throughout the decades, and kept investing, then you continued to make a lot of money.

If you look at the graph, you can see that even if you invested all your money in the mid-to-late 1990s (right before the market had many bad years) you still made a decent ROI after 20 years. Again, the key here is investing in the long term. If you only commit to investing for less than 10 years, you may not see any gains in the stock market. But historically speaking, if you are investing